

SALARYBIT

Old vs New Tax Regime

The Complete CA-Style Breakdown & Deduction Checklist

FY 2026-27 (Assessment Year 2027-28)

This guide walks through exactly how both tax regimes are calculated, which deductions apply where, and how to decide between them — with a worked example and a printable deduction checklist you can fill in with your own numbers.

For informational purposes only. This is not personalised tax advice — consult a Chartered Accountant or SEBI-registered advisor before filing.

1. How Each Regime Actually Works

India currently runs two parallel income tax systems. The New Regime is the default from FY 2023-24 onward — lower slab rates, but almost no deductions. The Old Regime has higher slab rates, but lets you reduce your taxable income first through a long list of deductions. Which one wins depends entirely on how many of those deductions you can actually claim.

New Regime — Slab Rates (FY 2026-27)

Taxable Income	Tax Rate
Up to ₹4,00,000	Nil
₹4,00,001 – ₹8,00,000	5%
₹8,00,001 – ₹12,00,000	10%
₹12,00,001 – ₹16,00,000	15%
₹16,00,001 – ₹20,00,000	20%
₹20,00,001 – ₹24,00,000	25%
Above ₹24,00,000	30%

Rebate under Section 87A: zero tax if taxable income is up to ₹12,00,000 (effectively up to ₹12,75,000 for salaried employees, after the ₹75,000 standard deduction).

Old Regime — Slab Rates (unchanged)

Taxable Income	Tax Rate
Up to ₹2,50,000	Nil
₹2,50,001 – ₹5,00,000	5%
₹5,00,001 – ₹10,00,000	20%
Above ₹10,00,000	30%

Rebate under Section 87A: zero tax if taxable income is up to ₹5,00,000.

2. Deduction Checklist — Old Regime Only

Tick off every one that applies to you, and note the amount. If the total is small relative to your income, the New Regime usually wins anyway — that's the whole comparison in one number.

Section 80C (combined cap ₹1,50,000/year)

- ✓ EPF (employee contribution)
- ✓ PPF contributions
- ✓ ELSS mutual funds
- ✓ Life insurance premiums
- ✓ Home loan principal repayment
- ✓ Children's tuition fees (up to 2 children)
- ✓ 5-year tax-saving FD
- ✓ Sukanya Samriddhi Yojana

Other deductions

Section	What it covers	Limit
80CCD(1B)	NPS — additional, over and above 80C	₹50,000
80D	Health insurance premium (self, family)	₹25,000–₹75,000*
80D	Health insurance premium (senior citizen parents)	₹50,000
80E	Interest on education loan	No cap (8 yrs)
80TTA / 80TTB	Savings account / senior citizen interest	₹10,000 / ₹50,000
24(b)	Home loan interest (self-occupied)	₹2,00,000
HRA	House Rent Allowance exemption	As per formula
Std. Deduction	Automatic, salaried employees	₹50,000

*₹25,000 general / ₹50,000 if you or your spouse is a senior citizen.

Rule of thumb: if your total eligible deductions (80C + 80D + home loan interest + HRA, etc.) exceed roughly ₹4.5–5 lakh a year, the Old Regime is usually worth the extra paperwork. Below that, the New Regime tends to win.

3. Worked Example

Profile: ₹18,00,000 CTC, living in a rented flat, paying ₹24,000/month rent, with an active home loan (₹1,80,000 interest/year) and standard 80C investments of ₹1,50,000.

	Old Regime	New Regime
Gross Salary	₹18,00,000	₹18,00,000
Standard Deduction	– ₹50,000	– ₹75,000
HRA Exemption (approx.)	– ₹2,16,000	– Not applicable
Section 80C	– ₹1,50,000	– Not applicable
Home Loan Interest (24b)	– ₹1,80,000	– Not applicable
Taxable Income	₹11,04,000	₹17,25,000
Approx. Tax Payable	₹1,08,680	₹1,42,500

Verdict for this profile: Old Regime saves about ₹33,820/year. The home loan interest and HRA combined are large enough to tip the balance. Change either of those (say, no home loan) and the answer can flip completely — that's why this needs your own numbers, not a generic rule.

4. Common Mistakes People Make

- Forgetting HRA exemption has three separate limbs (actual rent – 10% salary, 50%/40% of basic, actual HRA received) — the lowest of the three applies.
- Comparing gross CTC instead of taxable income after deductions.
- Not accounting for employer NPS contribution (up to 14% of Basic under the new Wage Code) which is deductible under Section 80CCD(2) in both regimes.
- Assuming the regime choice is permanent — salaried employees can switch every year when filing (only business income has restrictions).
- Ignoring that surcharge and cess apply on top of the slab tax for higher incomes.

This document is for informational purposes only and does not constitute financial, tax or legal advice. Tax laws and slab rates are subject to government notification and may change. Please consult a Chartered Accountant or SEBI-registered advisor before making filing decisions.